GMS WEEKLY

Your Source for Recycling News

July 4th, 2025
Week 27
Volume 274, Issue 1192

Highlights:

- **90 in 90.**
- **Oil drops**
- **Tonnage deprived.**
- **Regulatory delays.**
- **HKC era begin.**
- **Scan to download / view the Weekly on the GMS App!**

QUOTE of the WEEK

"What a wonderful thought it is that some of the best days of our lives haven't even happened yet."

– Anne Frank

-- MARKET COMMENTARY --

WILEY JULY!

As we firmly pass the halfway point of 2025, July has continued on with global economies suffering in unison, on the back of erratic trade policies emanating from a White House that seems to have got the car in drive while reversing off a cliff. As Trump fails (as usual) at his '90 deals in 90 days' tour, the U.S. sees an unsurprising rise in inflation for the first time in 4 months. This rocked the trading markets to such an extent that not only did the U.S. Dollar shatter international performances going all over the board this week, but it also weakened against the Turkish Lira in a rather unexpected turn of events. Oil futures also continued to hurt as Trump threatens more sanctions against Iran, OPEC+ countries continue to vie for greater market share and affirm an increase in oil putout across July (based on current sentiments), and an ensuing uncertainty that saw oil end the week at USD 66.5/barrel. In keeping with the flow of the money (and expense), the Baltic Exchange recorded another drop this week (in a series of recent declines) that saw it fall 2.1% this week, primarily on the back of the Cape index, which itself fell by about 5.3%, even though the Panamax and Supramax indices rose 1.5% and 0.9% respectively.

This has continued to deliver an absence of recycling tonnage for the markets at the bidding tables, which has represented itself rather well at this week's anchorages. And speaking of anchorages, recycling destinations have continued to go through a volley of market sentiments amidst their own disjointed market disorders that saw their currencies and steel plate prices dance around. HKC troubles for 1/3rd of the sub-continent recycling destinations has also left ship owners and cash buyers with minimal options to consider, especially as Pakistani authorities have stated that only those yards who have committed to HKC upgrades will be issued provisional DASR certificates to import vessels for recycling in addition to mandatory IHMs, as Bangladeshi HKC recyclers are not only taking the time to get accustomed to the 'new' way of recycling, but also digest recently delivered tonnage at a pace and in accordance with the HKC. Indian recyclers, meanwhile, were the only ones to have some positivity with at least one fresh arrival and some positive movement in local steel plate prices. An abundance of HKC ready Alang yards also means that owners looking to take make a quick sale, still do have the option to. But, as the HKC firmly enters into force, recycling markets overall remain on a glum and uncertain footing as demand and prices have slumped alarmingly over preceding weeks and the trajectory doesn't seem much too different at this time. While recycling tonnage is seeing far lower levels, some exploitative levels have once again been making the rounds as end buyers test the waters to see what might just bite.

Logically, there have been unremarkable sales concluded over the past month and there seem to be chances of fixtures taking place below the USD 400/LDT mark as a poorer condition Handymax bulker was privately concluded in the USD 390s/LDT this week, basis an expected Bangladesh redelivery. There also remains the question of increased regulations and additional documentation required now that the Convention is firmly in effect. Bangladesh will not accept any non-HKC approved recyclers to import vessels. In Pakistan, it is at least encouraging to see the nation's recycling sector and regulatory bodies / authorities finally moving in the right direction, after years of indecisiveness. In Turkey, as always, other than the Lira, there has been some news.

GMS demo rankings / pricing for week 27 of 2025 are on Page 5.

BANGLADESH

LOW SHE GOES!

Below 400.

For the first time this year, as the lowest placed Indian sub-continent ship recycling market, Bangladesh remains worthy of avoiding for any owners or cash buyers with geographically better suited / Far East positioned units that are considering a recycling sale at this time. Prices and demand from Chattogram have been so low of late that any potential recycling vessels are being introduced with the intention of being diverted towards competing Pakistani and Indian markets further East, despite the higher delivery costs on hand, and the fact that there are simply no offers from Bangladeshi shores at this time. Local authorities have been the primary drivers behind drastically reducing the number of available buyers as at the time of writing, only about 12 yards are HKC approved and these have already taken in a batch of recent deliveries. An additional 10 yards are reportedly still interested to remain in the game and are working towards upgrades of their own at this time.

Interim failures.

On the back of rapidly receding offers from Chattogram recyclers and as confirmed in the market commentary above, local port position is once again starting to trim in numbers as no new arrivals were reported this week, save for a couple of final deliveries. One of the key reasons behind the collapsing level of local offerings has been the inability of local yards to sell recycled ship's steel / recycled product of late given that not only have local steel plate prices declined over recent weeks, but this week, they practically fell off a cliff on account of maddening monsoons and local holidays / strikes that halted any domestic trade. Adding to the fluency of the situation is the inability of the interim government to stimulate any building / infrastructure projects since June of last year, and this has led to the gradually exacerbating situation of growing stockpiles of material at local yards, which in is now diminishing demand and dampening local offerings.

Diverting tonnage.

Yet, a local buyer surprised the industry this week with the private sale of a poorer condition Handymax bulker in the USD 390s/LDT, the first sale that registered below USD 400/LDT in quite some time in the industry. Making matters worse is the fact that domestic steel mills have reportedly booked cheaper imported steel products at levels region USD 330/Ton, which has further earmarked Chattogram to remain on an extended period on the sidelines and away from the bidding tables, unless the Bangladeshi government is able to implement restrictive measures to economically protect the country, or become the latest victim of the seemingly never-ending Indian sub-continent 'cheaper steel import' tariff war.

Universe ordered.

Overall, the only market sale of the week into Bangladesh wasn't also the only silver-lining for this market as the Bangladeshi Taka firmed nearly 20 basis points against the U.S. Dollar this week, withdrawing from the dreaded BDT 123 territory and back towards BDT 121, as it ended the week at BDT 122.45. Moreover, with pending yard upgrades, new recycling routines, and backed up inventory, all taking a swim in the deep end of 2025s monsoon season, perhaps a quieter may just be what the universe ordered.

NO MARKET SALES REPORTED

INDIA

SURFING THE RAINS!

Odd place to be in.

Alang recyclers find themselves in a comfortable, yet soaking wet predicament as on the one hand, they are battling not only their local fundamentals, but also the ongoing shortage of tonnage amidst the rains; yet on the other hand, all non-HKC yards in Bangladesh and Pakistan are tapped-out while those remaining (in Bangladesh) have just returned from the tonnage buffet – essentially leaving no one at the bidding tables other than Alang recyclers, who now find themselves as the only game in town despite being 2nd on the price rankings. Whether they can benefit off this unique position as tonnage shortage continues on, or even how long they will benefit off of it if it ever gets to it, remains to be another 2025 surprise. For now, Alang buyers are certainly one-up on the regional competition with at least one fresh arrival this week.

Teething expected.

Currently, with well over 100 fully HKC certified, long operational yards in Alang, it does seem rather eye-opening as we consider the fact there are only 12 recently HKC certified yards outside of India in the entire Indian sub-continent. Moreover, even this recent rush to finalise upgrades in neighbouring Chattogram and Gadani has regrettably come at the very last moment as the Hong Kong Convention finally entered into force last week, which **will** see some teething issues before the remainder of recycling yards become fully HKC-certified, and owners and cash buyers fully come to grips with the new realities, regulations, and documentation that are, and will be additionally required at all locations as the process streamlines over time, in order to continue importing vessels into this HKC only world of ship recycling.

Price subdued.

In keeping Alang's position tempered on the market rankings is their perennial love triangle with the U.S. Dollar and local steel plate prices, which continues to keep the Indian market alert on caffeine as this was probably the first week where despite crazy jitters, local steel plate actually ended USD 2/ton higher than that of last, ending the week at USD 427.35. Even the Indian Rupee that has yoyo-ed unrelentingly since the start of the year between Rs. 84 – Rs 88, thankfully saw a week where the Rupee practically ended where it started, at about Rs. 85.45 against the U.S. Dollar. At the Macro end of things, while the week started with more positive news between Indian and American authorities in coming closer to a trade agreement, the week ended with trade negotiations reportedly souring and Indian authorities once again turning to imposing counter-tariffs on American imports, stalling the process once again.

Mama drama.

Overall, prices are expected to hold at current levels for the time-being, but if what is happening in Bangladesh with their domestic steel industry where cheaper steel import fixtures recently undercut the price of processed recycled ship's steel, should that bleed into India as well (just as it has in the past), we may as well bid goodbye to USD 400/Ton, just as the markets bid goodbye to USD 500/Ton not over a quarter ago, and fundamentals continue to deliver some 'baby mama drama' for Alang throughout the year including this week.

NO MARKET SALES REPORTED

PAKISTAN

ROLL CALL!

Breakthrough!

The ship recycling industry in Pakistan finally achieved a breakthrough of sorts this week, as a select group of about 10-yard owners have committed to upgrading their respective facilities up to HKC standards, in order to continue operating and keep the nation relevant in the international ship recycling arena. Unfortunately for Gadani recyclers, their decision to appear for roll-call has come at a time when several deals have already been committed to end buyers at competing destinations across all of June, given the yet to be upgraded / non-HKC-certified state of all Gadani ship recycling yards despite having the best levels on show in the world for the last couple of weeks at least.

Highest levels.

And although it will be good to have Pakistan along for the ride when local yards finally get up to speed, their absence from the bidding tables and their offerings (competitive or otherwise) will remain irrelevant in the interim! Thus far, we understand that the various authorities and the PSBA will allow for vessels to be imported and issue provisional DASR certs to the yards that have committed to HKC upgrades and begun their infrastructure work to an acceptable standard, along with the inclusion of mandatory IHMs parts I, II and III that are now required to be onboard for entry to all recycling locations, including Pakistan.

New certs.

Of little consequence are local steel plate prices or the Pakistani Rupee, which has flatlined at USD 616/Ton – the highest in the industry – while the Pakistani Rupee fell 24 basis points against the U.S. Dollar edging ever closer to PKR 285 as it closed the week out at about PKR 284.20. If cheaper Chinese steel imports that are currently hovering under USD 300/Ton flood the international markets as the excess steel continues to float around and just as it has done so in Bangladesh this week, the overall specter of retreating recycling prices will likely continue through Q3 as well, earmarking 2025 for another tragic year in the Pakistani ship recycling industry – just as 2024 and even 2023 was for the Gadani recycling gang when only 16 ships were delivered into this market throughout 2024.

Work cut out.

Gadani certainly has its work cut out for itself ahead as at least a month (if not two) of yard upgrades will be required before Pakistani ship recyclers return to the scene during which time, neighboring India will be the only choice in the interim.

NO MARKET SALES REPORTED

TURKEY

TRAGIC WEEK!

Common sense.

The Turkish business of ship recycling that is more a marriage of rules and restrictions than objective ship recycling, continues subjecting ship owner, cash buyers, and even ship recyclers to lengthy and process intensive rules and documentary requirements stemming from exporting countries to flag state requirements to IHM evidences – a process that is more dissuasive for international players or even affords asset owners a cost-effective recycling alternative for that matter.

And to top if all off, accidents can and will continue to happen despite all the red-tape and incorrectly applied regulations designed to control an industry and detract the natural flow off commerce (where global ship recycling is concerned), as demonstrated in Aliaga this week were a large ore carrier caught fire at an Aliaga recycling yard. While thankfully no injuries or casualties have been reported, it is poignant to note that this vessel could've easily been redirected towards an India re-delivery during her negotiations, but political plays had her destiny charted out to Aliaga instead.

If only common sense was more common.

NO MARKET SALES REPORTED

GMS Weekly – Market Rankings

For Week 27 of 2025, GMS Market Rankings / vessel indications are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Pakistan	**Weak**	420 / LDT	440 / LDT	450 / LDT
2	India	**Weak**	410 / LDT	430 / LDT	440 / LDT
3	Bangladesh	**Weak**	400 / LDT	420 / LDT	430 / LDT
4	Turkey	**Weak**	250 / LDT	260 / LDT	270 / LDT

WEIRD ONES!!

- *There's a jellyfish that doesn't have an anus! Whenever too much waste product builds up in its body, it simply makes a hole somewhere on its body, discharges the waste, and then the hole closes back up again.*
- *The fact there are multiple ski resorts in Australia. Always seems to blow people's minds. Parts of Australia, like New South Wales, Victoria, and Tasmania, do get snow during their winter months of June, July, and August, so you absolutely can go skiing there! And speaking of Australia's winter months.*
- *We all know the dinosaurs died out a long time ago (~65 million years ago). But what's even longer: they roamed the Earth for 165 million years. The Stegosaurus went extinct 66 million years before the T-Rex even existed.*
- *The Children's Crusade of 1212 was a Holy Crusade made up nearly entirely of children. Their goal was to siege and take the Holy Lands for the Catholics, fixing their fathers' and brothers' perceived failures and retaking the city. Most of them died before getting anywhere out of Europe. The Crusade, led by 12-year-old Stephen of Cloyes, was approved by neither King Philip nor the Pope, but that didn't stop Stephen and his army of children (which, according to legend, was as large as 30,000 people). Another similar group of child crusaders formed in Germany, led by Nicholas of Cologne. They supposedly carried crosses and banners instead of weapons, and optimistically believed they could convert people through their words and divine intervention. But the Crusaders hit a wall around the time they made it to Genoa, Italy, as many grew tired, hungry, and did not speak the language. The groups fell apart before they hit the coastal cities, where they were supposed to wait for boats to the Holy Land.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**DELIVERY TIDES**
July 06 – Ashura	June 22 – June 30 July 08 – July 16 July 21 – July 29

BANGLADESH	
BANK HOLIDAYS	**DELIVERY TIDES**
July 05 – Ashura	July 11 – July 14 July 24 – July 27

BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
No holidays in July	July 01 – Bank Holiday July 05 – 06 – Ashoora	July 15 – Democracy & National Solidarity Day

Prices indicated above are as reported in the market and are not necessarily accurate. This information is provided without prejudice and is given in good faith and without any guarantees whatsoever. While every care has been taken in the preparation of this report, no liability can be accepted for any loss incurred in any way whatsoever by any person relying on the information contained herein. Opinions expressed herein may be deemed subjective and arbitrary. This WEEKLY is intended only for the person or entity to which it is addressed and may contain confidential and/or privileged material. Any review, retransmission, dissemination, or other use of this information by persons or entities other than the intended recipient is prohibited.

ALANG - Port Position as of July 04, 2025

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Conica Atlas	20,001	Oil Tanker	Arrived June 13
2	*Contract II*	*9,453*	*Oil Tanker*	*Delivered June 29*
4	Nirvana	9,623	Oil Tanker	Arrived May 07
5	Run Fu 2	6,183	Bulk Carrier	Arrived June 04
Total Tonnage		**45,260**		

CHATTOGRAM - Port Position as of July 04, 2025

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Abraham M*	*8,997*	*Bulk Carrier*	*Delivered June 28*
2	Ang Min	11,243	Bulk Carrier	Arrived June 23
3	*Naso (Under Tow)*	*23,292*	*Bulk Carrier*	*Delivered July 01*
		43,532		

GADANI - Port Position as of July 04, 2025

No.	VESSEL NAME	LDT	TYPE	STATUS
		No Vessels Reported!		
Total Tonnage		**-**		

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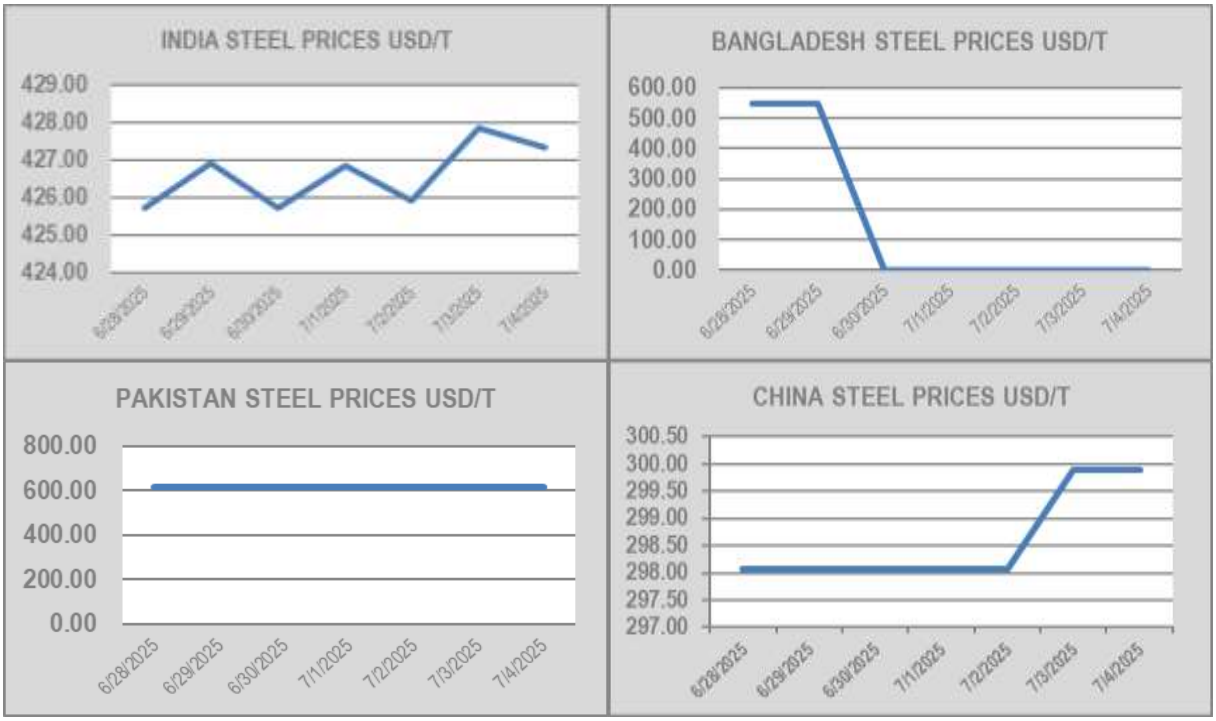
DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
6/28/2025	425.73	36,400.00	616.04	174,000.00	549.79	66,800.00	298.07
6/29/2025	426.90	36,500.00	616.04	174,000.00	549.79	66,800.00	298.07
6/30/2025	425.71	36,500.00	616.04	174,000.00	NO SALES	NO SALES	298.07
7/1/2025	426.85	36,500.00	616.04	174,000.00	NO SALES	NO SALES	298.08
7/2/2025	425.90	36,500.00	616.04	174,000.00	NO SALES	NO SALES	298.07
7/3/2025	427.85	36,500.00	616.04	174,000.00	NO SALES	NO SALES	299.90
7/4/2025	427.35	36,500.00	616.04	174,000.00	NO SALES	NO SALES	299.90



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